

Because of the tightness of the arbitrage and the inherent optionality, in the years from the dawn of the CDS market in the 1990s until the early market unraveling of 2007—which grew into the Great Financial Crisis—we rarely observed basis packages of matched maturity bonds and CDS trading more than a few basis points cheap. The term of art for this cheapness is “negative basis.” But in the years leading up to and following the Great Financial Crisis of 2008, we saw dramatic examples of how basis trades were impacted by the pressures on and behavior of many market participants. First, the negative basis exploded for a variety of reasons, attributable to holders of both the long cash instruments and the holders of negative basis packages. Then when these participants became distressed, selling was conducted without regard for the economic status of the underlying company or asset, and there was insufficient arbitrage capital willing to take the other side of the trade to keep it tethered to value.

The golden age of structured finance before the financial crisis created a seemingly endless supply of synthetic collateralized debt obligations (CDOs). The magic of structuring, or less charitably the gaming of rating agencies, allowed CDO managers to sell highly rated tranches of CDS portfolios at spreads well below their component parts, generating selling pressure on CDS. This drove CDS spreads to extremely low levels, both on an absolute basis and compared to cash bonds. This was also an era of cheap financing. Some banks in Europe, as well as proprietary trading desks of U.S. banks, found an irresistible combination: negative basis opportunities with positive carry (higher bond coupon received than CDS running spread paid) and seemingly infinite funding at LIBOR flat (i.e., without any spread over LIBOR) or better. Banks and proprietary trading desks put on negative basis trades in vast sizes, largely indiscriminately across corporate names, anytime their yield bogey was met. These trades also boosted the earnings of more than a few financial institutions because their